

ALTERNATIVE INVESTING STRATEGIES: THE 1-FUND, 2-FUND, 4-FUND, AND 5-FUND PORTFOLIOS

With every investment strategy, there are always alternatives to consider. The whole idea behind considering other investment approaches is to help you figure out or to confirm which approach will work best for you. So, let's go over a few alternatives to the 3-fund portfolio. They include:

The 1-fund portfolio. This investing strategy is the simplest of all and involves investing in one single total stock market or broad market fund. This allows you to invest in a diversified mix of stocks across large, medium, and small-cap companies. The idea behind investing in just one fund is that there is a high enough level of diversification across a total market or broad market fund to still minimize risk even though this portfolio may not have a bond investment component to it. Popular total market funds that would work for this model include the following:

- Vanguard Total Stock Market Index Fund (Symbol: VTSAX)
- Vanguard 500 Index Fund (Symbol: VFIAX)
- Fidelity S&P 500 Index Fund (Symbol: FXAIX)
- Fidelity Zero Total Market Index Fund (Symbol: FZROX)
- Schwab Total Stock Index Market Fund (Symbol: SWTSX)
- Schwab S&P 500 Index Fund (Symbol: SWPPX)

The 2-fund portfolio. This investing strategy involves investing in a total stock market or broad market fund and a bond fund. If you're looking to add additional diversification and another asset type to your portfolio, you can consider more than a 1-fund portfolio. Adding a bond fund to your portfolio can further help reduce your overall portfolio risk. Since bonds are much more stable than stocks, they can stabilize a portfolio during swings in the stock market. Popular bond funds include:

- Vanguard Total Bond Market Index Fund (Symbol: VBTLX)